

pressure as price competition in the marketplace increases and (2) assuming that index funds “work,” those that attract the most assets will be the ones that do not charge sales loads and have the lowest operating costs.

THE ACTIVE INVESTOR

Once you own shares of a mutual fund, you gain “certain inalienable rights.” Among them are the right to vote proxies, the right to express your opinions to management, and finally the ultimate right, the right to “vote with your feet” and redeem your investment in the fund. This final option frightens fund sponsors greatly. Not only does it suggest that they have somehow failed the investor, but it reduces the fees they receive from managing the fund.

The right to vote proxies is significant, since management fee increases must be approved by mutual fund shareholders. (Curiously enough, so must the almost unheard-of proposals to reduce fees.) It follows that, since investors—after reading the fund’s prospectus—tacitly approved the management fee when they purchased their shares, they will want to examine carefully any proposal to change the terms of the contract. Each shareholder *must* vote, and vote intelligently.

To do so, you will need complete and candid information on why a fee increase is being requested. If the proxy does not provide it, a no vote should be automatic. Many proxies, sadly, fall far short of adequate disclosure. Begin with the cover page. It often calls attention to “a vote to amend the fund’s investment advisory agreement.” Rarely, if ever, does it state “a vote to increase the fees you pay to the fund’s investment manager by 25%.” So careful examination of the details of the proxy is a must.

Fair reasons for a management to increase its fee rates might be “the need to have the resources to hire additional